

POSITION SIZING



Position Sizing

1

Win Rate & Risk : Reward

2

Position Sizing Options

3

Fixed Contract

4

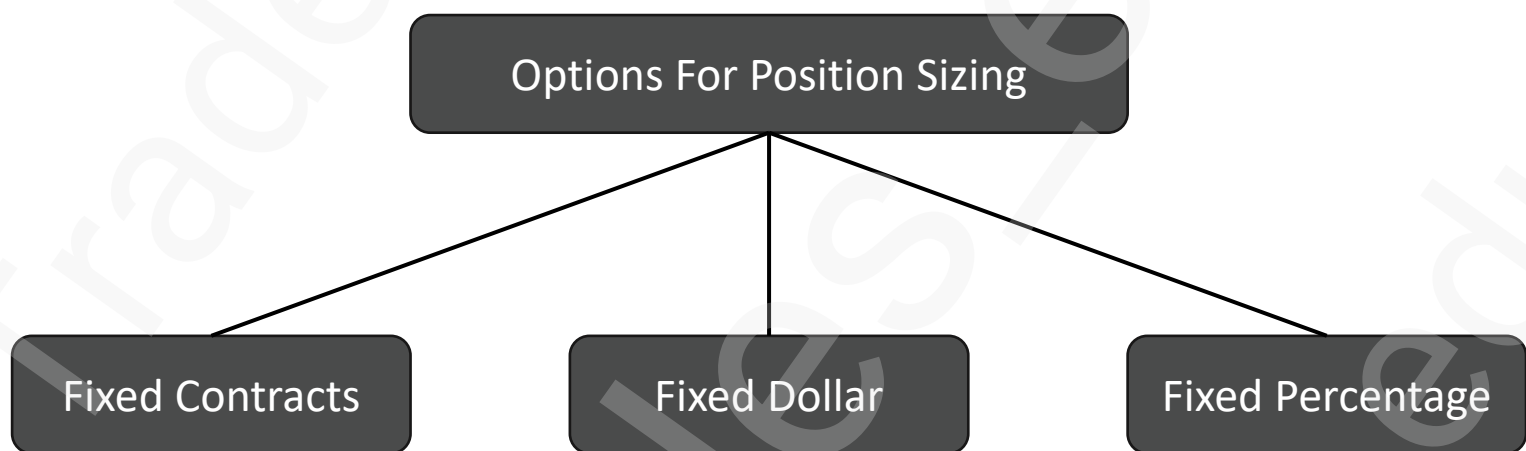
Fixed \$ / %



Win Rate & RR

		Win Rate				
		20%	30%	40%	50%	60%
Risk : Reward Ratio	1:1	Not Profitable	Not Profitable	Not Profitable	Breakeven	Profitable
	1:2	Not Profitable	Not Profitable	Profitable	Profitable	Profitable
	1:3	Not Profitable	Profitable	Profitable	Profitable	Profitable
	1:4	Breakeven	Profitable	Profitable	Profitable	Profitable
	1:5	Profitable	Profitable	Profitable	Profitable	Profitable

Assuming Same \$ Risk Per Trade



Fixed Contract

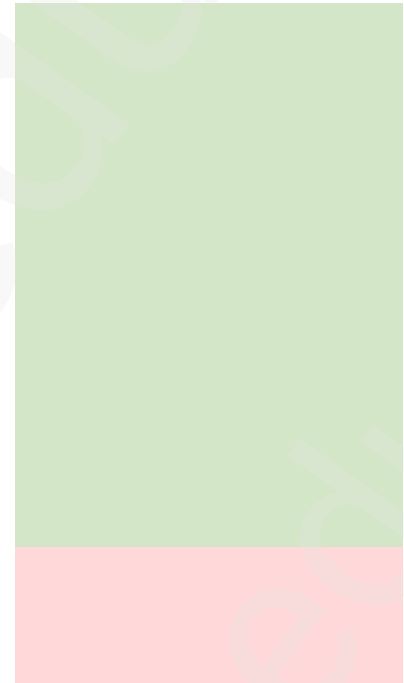
2 NQ Contracts Used In Each Scenario



2 NQ Contracts
20 Points Risk
Risk = \$800



2 NQ Contracts
40 Points Risk
Risk = \$1600



2 NQ Contracts
10 Points Risk
Risk = \$400

Fixed Contract

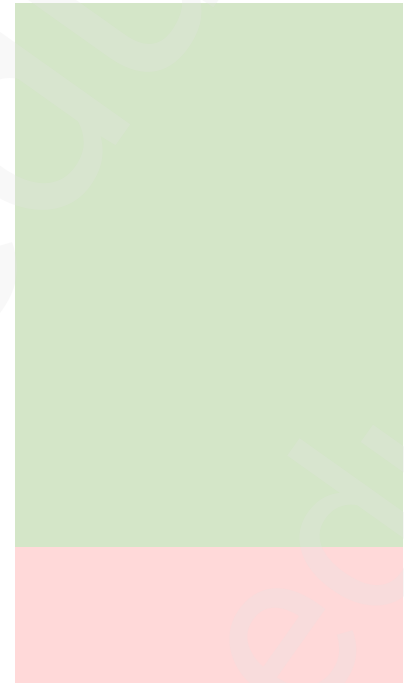
2 NQ Contracts Used In Each Scenario



2 NQ Contracts
20 Points Risk
Risk = \$800



2 NQ Contracts
40 Points Risk
Risk = \$1600



2 NQ Contracts
10 Points Risk
Risk = \$400

-\$800 (-1R)
-\$1600 (-1R)
+\$1600 (+4R)

-\$800 (+2R)???

Fixed \$/%

Adjust Contracts Per Scenario To
Maintain Fixed Risk Of \$1000



2.5 Contracts
20 Points Risk
Risk = \$1000

$$1000/20/20 = 2.5$$

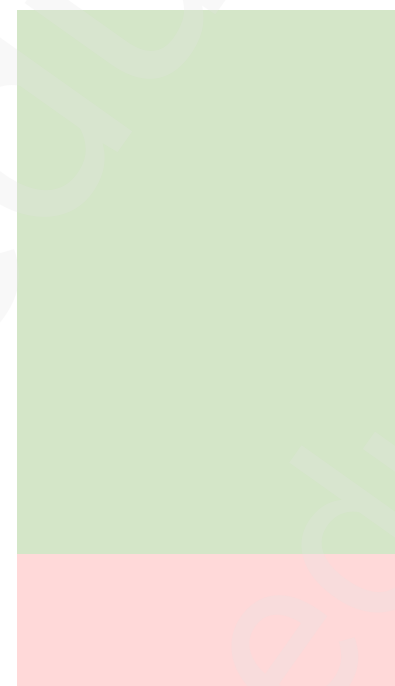
25 Micros



1.25 NQ Contracts
40 Points Risk
Risk = \$1000

$$1000/20/40 = 1.25$$

12.5 Micros



5 NQ Contracts
10 Points Risk
Risk = \$1000

$$1000/20/10 = 5$$

50 Micros

\$ of defined risk / \$ per point / stop size

Fixed \$/%

Adjust Contracts Per Scenario To
Maintain Fixed Risk Of \$1000



$$1000/20/20 = 2.5$$

25 Micros

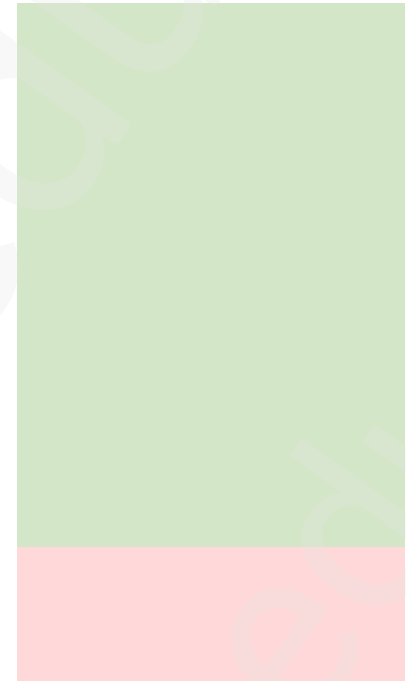
-\$1000 (-1R)
-\$1000 (-1R)
+\$4000 (+4R)

+\$2000 (+2R)



$$1000/20/40 = 1.25$$

12.5 Micros



$$1000/20/10 = 5$$

50 Micros

\$ of defined risk / \$ per point / stop size

Resources

[Position Sizing Video](#)

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